

**HEALTH REIMBURSEMENT
ACCOUNT PLAN
(SECTION 105(H))
FEATURING Beniversal®
PLAN DOCUMENT**

*Effective 01.01.2020
Revised 03.2020*



1. PRELIMINARY MATTERS

- 1.1 Form. The Health Reimbursement Account Plan is set out in this document, the accompanying Plan Highlights, which is incorporated herein by reference, and any amendments to these documents.
- 1.2 Purpose. This Plan is designed as an accident and health plan under Section 105(e) of the Code, and a welfare benefit plan as defined in Section 3(1) of ERISA and the regulations thereunder. The sole and exclusive purpose of this Plan is to permit Participants to obtain reimbursement of Medical Expenses on a nontaxable basis from their Reimbursement Accounts.

2. DEFINITIONS

- 2.1 "Code" means the Internal Revenue Code of 1986, as amended, and corresponding provisions of future laws as amended.
- 2.2 "Committee" means the committee of persons that may be appointed by the Employer to serve as the Plan Administrator in accordance with Section 6.
- 2.3 "Dependent" means a dependent as defined in Section 105(b) of the Code, and any child to whom Section 152(e) of the Code applies shall be treated as a dependent of both parents.
- 2.4 "Effective Date" means the day the Plan begins as stated in the Plan Highlights.
- 2.5 "Eligible Expense" or "Expense" means reimbursement of one or more Medical Expenses permitted under Section 105(b) of the Code and offered through the Plan, but only to the extent the Expense has not been reimbursed and is not reimbursable through any other source.
- 2.6 "Employee" means a person who performs services for the Employer as a common law employee and receives compensation for his services other than a pension, retirement allowance, retainer or fee under contract. Persons who act only as directors are not Employees. Persons providing services to the Employer through temporary agencies, leasing organizations, or independent contractor arrangements are not Employees eligible to participate in the Plan, even though they subsequently may be classified as employees of the Employer for employment tax, unemployment insurance, or other purposes by a government agency or a court.
- 2.7 "Employer" means the Employer as identified in the Plan Highlights. Employer also means any related or successor employer assuming the obligations created in this Plan, as identified in the Plan Highlights.
- 2.8 "ERISA" means the Employee Retirement Income Security Act of 1974, as amended, and corresponding provisions of future laws. Notwithstanding any other term or provision of the Plan Document, the Summary Plan Description, or the Plan Highlights, the provisions of ERISA shall apply only to the extent that the statute so requires.
- 2.9 "Health Savings Account" or "HSA" means an Internal Revenue Code Section 223 account under which a Participant is covered, which is used to pay medical expenses eligible under the HSA. Such accounts are established and maintained outside of the Plan with an HSA trustee/custodian.
- 2.10 "High Deductible Health Coverage" means coverage under a group term health plan maintained under a separate plan, program, insurance policy or contract and which: (i) satisfies the requirements of Sections 105 and 106 of the Code; and (ii) qualifies as a high

deductible health plan as described in Section 223 of the Code and regulations and guidance issued thereunder.

- 2.11 "Highly Compensated Individual" means any Employee whose compensation or ownership percentage exceeds the limits defined in Section 105(h)(5) of the Code.
- 2.12 "Medical Expense" means amounts paid for the diagnosis, cure, mitigation, treatment, or prevention of disease, or for the purpose of affecting any structure or function of the body. Medical Expenses may include expenses for routine and extraordinary physical, mental, and dental examinations, surgery, vision care, dental care, psychiatric care, hospitalization, prescribed drugs and medicines, therapeutic, orthopedic, and prosthetic aids and devices, transportation primarily for and essential to medical care, and other Expenses that are considered to be for medical care as that term is used in Sections 105(b) and 213(d) of the Code and Treasury Regulations and/or other Internal Revenue Service Guidance issued thereunder.
- 2.13 "Minimum Annual Deductible Amount" means the minimum annual deductible amount applicable to a Participant under a high deductible health plan, as determined under Section 223 of the Code and regulations and guidance issued thereunder.
- 2.14 "Participant" means an Employee who meets the requirements for participation specified in Section 3.
- 2.15 "Plan" means the Health Reimbursement Account Plan set forth in this document and the accompanying Plan Highlights, as amended from time to time.
- 2.16 "Plan Administrator" means the person, entity, or Committee identified as such in the Plan Highlights and as described in Section 6.
- 2.17 "Plan Highlights" means the accompanying document, which the Employer completes, adopting certain provisions and outlining Employer-specific customization as part of the Plan.
- 2.18 "Plan Year" means the period beginning and ending on the dates specified as the Plan Year in the Plan Highlights, and every twelve consecutive month period thereafter.
- 2.19 "Reimbursement Account" means the Reimbursement Account established for a Participant and described in Section 4.4.
- 2.20 "Service Provider" means Benefit Resource, LLC. and its authorized agents.
- 2.21 "Spouse" for purposes of the Reimbursement Account listed in Section 2.19 means a Participant's legal Spouse if recognized by State and Federal law.

3. PARTICIPATION

- 3.1 Eligibility. An Employee who meets the eligibility requirements specified in the Plan Highlights shall be eligible to participate in the Plan except for the following restrictions:
- S Corp: Shareholders who are Employees and own more than 2% of the stock cannot participate. An Employee who is the Spouse, child, parent or grandparent of a more than 2% owner cannot participate.
 - Partnership: Partners cannot participate. An Employee who is the Spouse, child or parent of a partner can participate, if eligible.
 - Sole Proprietorship: Sole proprietor cannot participate. An Employee who is the Spouse, child or parent of a sole proprietor can participate, if eligible.

- 3.2 Participation Date. An eligible Employee shall become a Participant in the Plan on the date specified in the Plan Highlights.
- 3.3 Duration of Participation. Except as otherwise provided in this Plan, an Employee shall continue as a Participant so long as he or she remains in the employment of the Employer and/or has elected COBRA continuation coverage, and also continues to fulfill the eligibility requirements.
- If the Plan Administrator reasonably believes that a Participant knowingly has submitted an Expense which is not eligible, the Plan Administrator may immediately discontinue the Participant's participation in the Plan and prohibit the Participant from again participating in the Plan. The Plan Administrator may request from the Participant any information reasonably necessary to assist in such determination. Failure of the Participant to provide such information shall be cause for the Plan Administrator to find that the Participant knowingly submitted an Expense that is not eligible.
- 3.4 Reinstatement of Former Participant. A former Participant shall become a Participant again if and when he or she meets the eligibility requirements of Section 3.1.
- 3.5 FMLA and USERRA Leaves of Absence. Notwithstanding any provision to the contrary in this Plan, if a Participant goes on a qualifying leave under the Family and Medical Leave Act (FMLA) or the Uniformed Services Employment and Reemployment Rights Act (USERRA), then to the extent required by the FMLA or USERRA, as applicable, the Employer will continue to maintain the Participant's benefits on the same terms and conditions as if the Participant were still an active Employee. To the extent coverage is not required to be continued by the FMLA or USERRA, the Participant will be treated as having terminated participation, as described under Section 4.6, except to the extent coverage is permitted or required to continue under the terms of the Employer's leave of absence policies or in the Plan Highlights.
- 3.6 Non-FMLA and USERRA Leaves of Absence. If a Participant goes on a leave of absence that is not subject to the FMLA or USERRA, the Participant will be treated as having terminated participation, as described under Section 4.6 except to the extent coverage is permitted or required to continue under the terms of the Employer's leave of absence policies or in the Plan Highlights.
- 3.7 Compliance with MMSEA Reporting. If the Plan is pursuant to Section 111 of the Medicare, Medicaid and SCHIP Extension Act of 2007 (MMSEA), the Service Provider is the responsible reporting entity ("RRE") for the Plan as that term is defined pursuant to Section 111 MMSEA. In order to fulfill its RRE obligation, the Service Provider requires information from the Employer, including, but not limited to, Social Security Numbers of Participants, Spouses and Dependents. To the extent the Employer has not provided the required information, the Service Provider shall notify the Employer and the Employer shall obtain the information from Participants that is required to be reported, including Social Security Numbers of Spouses and Dependents. In the event a Participant refuses to provide a Social Security Number, the Employer shall have the Participant sign the Centers for Medicare & Medicaid Services (CMS) refusal form, which allows individuals to explain their refusal to provide requested information, and shall return the signed form to Service Provider for its files. In the event the Participant refuses to sign the form, the Service Provider may deny Plan eligibility.
- 3.8 Opt Out. The Employer will permit a Participant to opt out of participating in the Plan at least once annually by notifying the Plan Administrator in writing during the opt out period determined by the Plan Administrator. Opt out is permanent and irrevocable unless the Employer allows re-instatement into the Plan.

4. BENEFITS

- 4.1 *Form of Benefits.* Each Participant may use Employer contributions for the payment or reimbursement of Eligible Expenses for services provided to the Participant, the Participant's Spouse or the Participant's Dependent (unless restricted by the Plan as outlined in the Plan Highlights), to the extent that those Expenses have not been reimbursed and are not reimbursable through any other source.
- 4.2 *Amount of Employer Contribution.* The Employer determines the contribution amount available under the Plan and shall notify the Participant of that amount. If the Employer contribution amount changes in subsequent Plan Years, the Employer shall provide written notice of the change to Participants prior to the first day of the Plan Year.
- 4.3 *Payment or Reimbursement of Expenses.* Payment or reimbursement of Expenses will be made directly to Participants on the schedule specified in the Plan Highlights and shall reduce the amount credited to a Participant's account. The Service Provider shall provide reimbursement forms so that Participants can request reimbursements from their Reimbursement Account and/or institute such other procedures for paying claims relating to those accounts, that the Service Provider or Plan Administrator, in its sole discretion, deems appropriate. Requests for reimbursement shall be accompanied by a copy of the bill, explanation of benefits or other documentation supporting the reimbursement and shall contain the Participant's signed statement that the expense is not eligible for reimbursement from any other source and has not been reimbursed from any other source, as well as other information that the Service Provider or Plan Administrator deems appropriate. A Participant who permanently and irrevocably opts out of participating in the Plan under Section 3.8 shall not be reimbursed for Eligible Expenses provided after opting out of the Plan.

4.3.1 Claims relating to a Participant's Reimbursement Account may be paid and processed using a prepaid card designed for such purpose ("Beniversal® Card"). The availability of the Participant's Reimbursement Account funds on the card is outlined in the Plan Highlights. The Service Provider or Plan Administrator, in its sole discretion, shall adopt procedures to ensure that amounts paid with the Beniversal Card qualify as Eligible Expenses under the Plan. Such procedures shall include:

- If the Beniversal Card is used to pay an Expense that is electronically validated at the point-of-sale to be an Eligible Expense, no further action is required.
- If the Beniversal Card is used to pay an Expense that is not electronically validated at the point-of-sale to be an Eligible Expense, the Participant must submit such itemized bills, receipts or other information requested by the Service Provider to verify that the amount was an Eligible Expense.
- If the Participant fails to provide information to satisfy the Service Provider or Plan Administrator that amounts paid via the Beniversal Card are Eligible Expenses, the Service Provider or Plan Administrator will take whatever action it deems appropriate to require the Participant to repay the amount that has not been verified amount, including: (i) requesting the Participant to reimburse the Plan for the amount that has not been verified claim; (ii) suspending the Participant's access to Medical Expense funds; (iii) offsetting future reimbursement claims by the amount paid via the Beniversal Card that has not been verified; (iv) suspending the Participant's eligibility to participate in the Plan; and (v) deducting from the Participant's taxable wages the amount of the expense paid via the Beniversal Card that has not been verified.

The Service Provider or Plan Administrator, in its sole discretion, may adopt such other rules that it deems appropriate that will govern the use of a prepaid card product to pay

Eligible Expenses (e.g., canceling the card upon the Participant's termination of employment, establishing transaction limits on the card, charging fees to use such cards, etc.). If the Plan Administrator's correction efforts prove unsuccessful, the Participant remains indebted to the Plan for the amount of the unverified payment. In that event, and consistent with its business practices, the Employer may treat the unverified amount as it would any other business indebtedness.

- 4.4 *Establishment of Accounts.* The Plan Administrator will establish and maintain a Reimbursement Account with respect to each Participant but will not create a separate fund or otherwise segregate assets for this purpose. The Reimbursement Account so established will merely be a recordkeeping account for the purpose of keeping track of the contributions and available reimbursement amounts.
- (a) *Crediting of Accounts.* A Participant's Reimbursement Account will be credited on a pre-set schedule as determined by the Plan Administrator.
 - (b) *Debiting of Accounts.* A Participant's Reimbursement Account will be debited during each Plan Year for any reimbursement of Medical Expenses provided during the timeframe specified in the Plan Highlights.
 - (c) *Available Amount.* The amount available for reimbursement of Medical Expenses is the amount credited to the Participant's Reimbursement Account under subsection (a) reduced by prior reimbursements debited under subsection (b).
- 4.5 *Carryover of Accounts.* In the event the amount of Expenses paid to a Participant in any Plan Year is less than the Employer contribution available for reimbursement or payment for that Plan Year, the Plan Highlights specifies the status of any unused amounts.
- 4.6 *Loss of Eligibility (including termination).* If a Participant becomes ineligible to participate in the Plan during the Plan Year, reimbursement requests for Eligible Expenses must be submitted within the timeframe specified in the Plan Highlights. The Plan Highlights specifies the status of any unused amounts and will specify that either (a) a Participant forfeits the entire Reimbursement Account when becoming ineligible to participate in the Plan and cannot be reimbursed for Eligible Expenses provided after becoming ineligible, or (b) the terms under which the Participant will be reimbursed for Eligible Expenses provided after becoming ineligible. If the Plan Highlights provide that the Participant can be reimbursed for Eligible Expenses provided after becoming ineligible, then the Employer will permit the Participant to permanently and irrevocably opt out of and waive future reimbursements of Eligible Expenses at least once annually during the opt out period as determined by the Plan Administrator and upon becoming ineligible to participate in the Plan.
- 4.7 *Coordination of Benefits.* Benefits under this Plan are intended to pay for Expenses not previously reimbursed or reimbursable elsewhere through insurance or otherwise. If only a portion of a Medical Expense has been reimbursed elsewhere (e.g., because the health insurance plan imposes co-payment or deductible limitations), then this Plan can reimburse the remaining portion of such Medical Expense if it otherwise meets the requirements for reimbursement under this Plan. If a Participant receives benefits under the Plan and is subsequently reimbursed for the expenses from any other source at any time, the Participant shall remit these benefits to the Employer to the extent of the reimbursement. If an Employer sponsors both a Health Reimbursement Account Plan and a Medical Flexible Spending Account Plan, then reimbursements shall be made first from the Medical Flexible Spending Account Plan, unless otherwise specified in the Plan Highlights or under the coordination of benefits provisions of the Employer's Medical Flexible Spending Account Plan.

- 4.8 Compliance with ERISA, COBRA, HIPAA, etc. Benefits shall be provided in compliance with ERISA, COBRA, HIPAA, FMLA, USERRA, and other group health plan laws to the extent required by such laws. The Employer shall advise each Participant of any rights he or she may have to continued reimbursement from the Participant's Reimbursement Account pursuant to the Consolidated Omnibus Budget Reconciliation Act of 1985 (COBRA).

5. ENROLLMENT PROCEDURES

- 5.1 Enrollment. Each eligible Employee shall be enrolled in the Plan. An eligible Employee may decline participation in the Plan at any time by providing a notice in writing to the Plan Administrator.
- 5.2 Non-Discrimination Requirements. The Plan Administrator may in its sole and absolute discretion take any actions that it deems appropriate to assure compliance with all applicable non-discrimination requirements and all applicable limitations on benefits provided to Highly Compensated Individuals. These actions may include without limitation modifying Employer contributions to Highly Compensated Individuals with or without their consent, or treating reimbursements to Highly Compensated Individuals as taxable compensation.

6. PLAN ADMINISTRATION

- 6.1 Plan Administrator. The Employer may appoint a person or committee of persons to act as Plan Administrator and may remove the Plan Administrator from office at any time. Any such appointment or removal shall be in writing. If no appointment is made, the Employer shall be the Plan Administrator.
- 6.2 Powers. The Plan Administrator has full discretionary authority and responsibility to control and manage the operation and administration of the Plan. The Plan Administrator shall have the exclusive right to interpret the Plan (but not to modify or amend the Plan) and to decide any and all questions arising in the administration, interpretation, and application of the Plan. The Plan Administrator shall establish whatever rules it finds necessary for the operation and administration of the Plan and shall endeavor to apply such rules in its decisions so as not to discriminate in favor of any person. The decisions of the Plan Administrator or its action with respect to the Plan shall be conclusive and binding upon the Employer and all persons having or claiming to have any right or interest in or under the Plan, except to the extent the Plan Administrator's decision is subject to the External Review procedures contained in Section 7.5 or to review by a court of law.
- 6.3 The Committee. If the Employer designates a committee of persons (the "Committee") to serve as the Plan Administrator, the members of the Committee may elect from their number a chairman, who needs not be an Employee, and may appoint a secretary, who needs not be an Employee or a member of the Committee. They may appoint from their number such subcommittees with such powers as they shall determine. They may allocate responsibility among themselves or delegate any of their duties or responsibilities to other persons in accordance with this Section 6. A member of the Committee may resign at any time by delivering a written resignation to the Employer.

The Committee may hold meetings upon such notice, at such place or places, and at such time or times as they may determine. A majority of the members of the Committee shall constitute a quorum for the transaction of business. All resolutions or other actions taken by the Committee shall be by vote of a majority of those present at a meeting of the Committee at which a quorum shall be present or, if they act without a meeting, in writing by all the members of the Committee.

- 6.4 *Delegation of Responsibilities.* The Plan Administrator may delegate any of its duties or responsibilities to other persons, including the Employer or any of its officers or Employees. Any such allocation or delegation of responsibilities shall be by an instrument in writing, setting forth specifically the delegated duties, signed by or on behalf of the Plan Administrator and the delegated person and shall be exercised in a reasonable manner taking into account the discretionary or ministerial nature of the responsibility allocated or delegated and the capabilities of such person or persons to whom the responsibility is allocated or delegated.
- 6.5 *Third-Party Contracts.* The Plan Administrator or any person or persons to whom the Plan Administrator has delegated responsibilities may employ, with the approval of the Plan Administrator, one or more accountants, actuaries, legal counsel or other persons as shall be deemed necessary for the effective control and management of the operation and administration of the Plan. The Plan Administrator, the Employer and its officers and directors, and any person to whom any duty or responsibility has been delegated by the Plan Administrator shall be entitled to rely upon all tables, valuations, certificates, opinions and reports furnished by any duly appointed accountant, actuary, legal counsel or other person and shall be fully protected in respect of any action taken or permitted by them in good faith in reliance upon any such tables, valuations, certificates, reports or opinions.
- 6.6 *Compensation.* The Plan Administrator shall not receive any compensation from the Plan for its services, but the Employer may pay the Plan Administrator a salary and the Plan may reimburse the Plan Administrator for any necessary expenses incurred.
- 6.7 *Records.* The Plan Administrator shall maintain accounts showing the fiscal transactions of the Plan.
- 6.8 *Indemnification.* To the extent not covered by insurance and to the fullest extent permitted by law and the Employer's governing rules, each person who is or has been a Plan Administrator, including each person who is or has been a member of the Committee, if applicable, or any officer or Employee of the Employer who has been delegated responsibilities by the Plan Administrator, shall be indemnified by the Employer against expenses (including amounts paid in settlement with the approval of the Employer) reasonably incurred by him or her in connection with any action, suit, or proceeding to which he or she may be a party or with which he or she shall be threatened by reason of being, or having been or acted on behalf of the Plan Administrator. The foregoing right of indemnification shall be in addition to any other rights to which any Plan Administrator may be entitled as a matter of law.

7. CLAIMS AND APPEALS PROCEDURE

- 7.1 *Claims and Appeals Procedure Overview.* Participants or beneficiaries who disagree with a decision concerning their right to participate in the Plan or to receive reimbursement of Medical Expenses may file a claim in writing with the Plan Administrator. Claims and/or appeals of denied claims may be made by the Participant or the Participant's authorized representative (the "Claimant").

Claims and appeals relating solely to eligibility to participate in the Plan are subject only to the Eligibility Claims and Appeals Procedure contained in Section 7.2 below. Claims and appeals relating in whole or in part to benefits claimed under the terms of the Plan are subject to the internal and external Benefits Claims and Appeals Procedures outlined in Sections 7.3 through 7.5 below.

Claimants who need assistance with a claim, appeal of a denied claim, or the external review process, may contact the Employee Benefits Security Administration or any applicable office of health insurance consumer assistance or ombudsman established under

the Public Health Service Act Section 2793.

7.1.1 Compliance with the Patient Protection and Affordable Care Act (PPACA). These Claims and Appeals Procedures have been revised to comply with requirements of the expanded claims procedure requirements under the Patient Protection and Affordable Care Act (PPACA) for Plans that are not grandfathered medical plans under 26 CFR § 54.9815-1251T. In cases where the Department of Labor has indicated that there is a delayed enforcement deadline for a particular PPACA requirement described in this Section, the Plan Administrator and/or Service Provider may delay implementation of the particular delayed provision until the enforcement deadline.

The Plan will continue to provide coverage pending the outcome of an appeal, to the extent required by PPACA, in accordance with the requirements of 29 CFR 2560.503-1(f)(2)(ii), which generally provides that benefits for an ongoing course of treatment cannot be reduced or terminated without providing advance notice and an opportunity for advance review.

- 7.2 Eligibility Claims and Appeals Procedure. The following procedures apply if a Claimant is inquiring about eligibility to participate in the Plan. These rules do not apply if a Claimant is claiming the right to receive benefits under the Plan, rather than just inquiring about eligibility to participate.

Claimants who disagree with a decision concerning their right to participate in the Plan may file a claim in writing with the Plan Administrator. The Plan Administrator will review the claim and generally will notify the Claimant of its decision within ninety (90) days after it receives the claim. However, if the Plan Administrator determines that special circumstances require an extension of time to decide the claim, it may obtain an additional ninety (90) days to decide the claim. Before obtaining this extension, the Plan Administrator will notify the Claimant, in writing and before the end of the initial 90-day period, of the special circumstances requiring the extension and the date by which the Plan Administrator expects to render a decision.

If an eligibility claim is denied in whole or in part, the Plan Administrator shall provide a written notice within the time period described above, setting forth: (i) the specific reasons for the denial; (ii) specific reference to the provision of this Plan upon which the denial is based; (iii) any additional material or information the Claimant should furnish to perfect the claim and an explanation of why such material or information is necessary; (iv) the Claimant's right to receive, upon request and free of charge, reasonable access to and copies of all documents and information relevant to the claim; and (v) a description of the Plan's internal review procedures, information regarding how to file an appeal, and the time limits applicable to such procedures, including the Claimant's right to file a civil action following an adverse benefit determination on review. The notice will be written in a manner calculated to be understood by the claimant.

Claimants who disagree with the decision reached by the Plan Administrator may submit a written appeal within sixty (60) days of receiving the initial adverse decision. The written appeal should clearly state the reason or reasons why the Claimant disagrees with the Plan Administrator's decision. The Claimant may submit written comments, documents, records and other information relating to the claim even if such information was not submitted in connection with the initial claim for benefits. Additionally, upon request and free of charge, the Claimant may have reasonable access to and copies of all Plan documents, records and other information relevant to the claim.

The Plan Administrator will review the appeal and will generally issue a written decision within sixty (60) days of its receipt. If special circumstances require an extension of time for reviewing the claim, the Claimant will be notified in writing. The notice will be

provided prior to the commencement of the extension, describe the special circumstances requiring the extension and set forth the date the Plan Administrator will decide the appeal, which date will be no later than sixty (60) days from the end of the first 60-day period.

Once the Plan Administrator has made a decision, the Claimant will receive written notification of the decision. In the case of an adverse decision, the notice will: (i) explain the reason or reasons for the decision; (ii) include specific references to Plan provisions upon which the decision is based; and (iii) indicate that the Claimant is entitled to, upon request and free of charge, reasonable access to and copies of documents, records, and other information relevant to the claim. The notice will also include a statement describing any voluntary appeal procedures offered by the Plan and the Claimant's right to obtain the information about such procedures, a statement describing voluntary alternative dispute resolution options that may be available by contacting the U.S. Department of Labor, and a statement of the Claimant's right to bring an action under ERISA.

- 7.3 Benefits Claims Internal Claims Procedure. Claims for reimbursement of Medical Expenses shall be paid in accordance with the terms of the Plan. Claims for reimbursement of Medical Expenses shall be made to the Service Provider on a form provided by the Service Provider, provided that if a Beniversal Card is used to pay an Expense that is electronically validated at the point-of-sale to be an Eligible Expense, in accordance with the rules and procedures set forth in Section 4.3, no further action is required. Each claim form must be accompanied by such documentation or certifications as may be required in accordance with Section 4.3 and must be received by the Service Provider within the timeframe indicated in the Plan Highlights.

The Service Provider or Plan Administrator, in its sole and complete discretion, will decide if a claim should be reimbursed. If any part of a claim for Medical Expenses is denied, absent any necessary extension, the Service Provider shall provide a written notice as soon as possible, but in no event more than thirty (30) days after the receipt of the claim by the Service Provider, setting forth: (i) the specific reasons for the denial; (ii) sufficient information to identify the claim involved, including the date of service, the health care provider, the claim amount, the diagnosis code and its corresponding meaning, and the treatment code and its corresponding meaning; (iii) specific reference to the provision of this Plan upon which the denial is based; (iv) any additional material or information the Claimant should furnish to perfect the claim and an explanation of why such material or information is necessary; (v) the Claimant's right to receive, upon request and free of charge, reasonable access to and copies of all documents and information relevant to the claim; (vi) a description of the Plan's internal review procedures, information regarding how to file an appeal, and the time limits applicable to such procedures, including the Claimant's right to file a civil action following an adverse benefit determination on review; (vii) if an internal rule, guideline, protocol or other similar criterion was relied upon in making the adverse determination, either the specific rule, guideline, protocol or other similar criterion, or a statement that such a rule, guideline, protocol or other similar criterion was relied upon in making the adverse determination and that a copy will be provided free of charge to the Claimant upon request; (viii) if the denial is based on a medical necessity or experimental treatment or similar exclusion or limit, the notice shall also include an explanation of the scientific or clinical judgment for the determination, applying the terms of the Plan to the member's medical circumstances, or a statement that such explanation will be provided free of charge upon request; (ix) the identity of any medical or vocational experts whose advice was obtained in connection with the benefit determination, regardless of whether the advice was relied upon in making the benefit determination; (x) the denial code and its corresponding meaning (if applicable), as well as a description of the Plan's standard, if any, that was used in denying the claim; and (xi) the contact information for the Employee Benefits Security Administration and any applicable office of health insurance consumer assistance or ombudsman established under the Public Health Service Act. The notice will be written in a manner calculated to be understood by

the claimant, and in a culturally and linguistically appropriate manner as defined by applicable regulations.

If special circumstances beyond the control of the Plan require it, the Service Provider may extend the time for deciding a claim for up to an additional fifteen (15) days by providing written notice of such extension to the Claimant. If the extra time is needed because the Claimant has not provided information needed to decide the claim, the notice will also describe the needed information and the Claimant will have forty-five (45) days to provide the needed information. If the Claimant provides additional information in response to such a request, a decision will be rendered within fifteen (15) days of when the information is received.

- 7.4 Benefits Claims Internal Review Procedure. Claimants who disagree with a decision concerning their right to participate in the Plan may file an appeal in writing with the Plan Administrator.

If a claim for reimbursement of Medical Expenses is denied and a review is desired, the Claimant shall have one-hundred eighty (180) days after receipt of written notice of denial in which to notify the Plan Administrator in writing.

In requesting a review, the Claimant may review this Plan or any documents relating to it and submit any written comments, documents, records and other information the Claimant may feel appropriate, without regard to whether such information was submitted or considered in the initial benefit determination made by the Service Provider. The Claimant may obtain, free of charge and upon request, records and other information relevant to the claim, without regard to whether such information was relied upon by the Service Provider in making the initial benefit determination. The Claimant is entitled to review the Plan's claim file and to present evidence and testimony in support of the claim.

The Plan Administrator shall then review the claim and provide a written decision within sixty (60) days. The review shall not afford deference to the initial adverse benefit determination and will be conducted by an individual who is neither the individual who made the adverse benefit determination that is the subject of the appeal, nor the subordinate of that individual. If a Claimant's Medical Expense appeal is denied and the denial was based in whole or in part on a medical judgment, the Plan Administrator will consult with a health care professional with training and experience in the relevant medical field. This health care professional will not have been involved in the original denial decision, nor be supervised by the health care professional involved in the initial decision. Medical or vocational experts whose advice was obtained on behalf of the Plan in connection with the adverse benefit determination will be identified in the written appeal response, without regard to whether the advice was relied upon in making the benefit determination.

If during the pendency of the claim or appeal the Plan obtains any new or additional evidence that is considered, relied upon, or generated by or at the direction of the Plan in connection with the claim, the Plan will provide the Claimant with the new or additional evidence at no cost as soon as possible and sufficiently in advance of the date when the Plan must provide notice of its decision regarding the claim on appeal to give the Claimant a reasonable opportunity to respond prior to that date.

Additionally, before the Plan denies such a claim on appeal in whole or part based on a new or additional rationale, the Plan will provide the Claimant with the new or additional rationale at no cost as soon as possible and sufficiently in advance of the date when the Plan Administrator must provide notice of its decision regarding the claim on appeal to give the Claimant a reasonable opportunity to respond prior to that date.

The Plan Administrator's written decision shall set forth the same elements required for the

written notice of claim denial in Section 7.3 above. In addition, the written decision on appeal will also include a statement describing voluntary alternative dispute resolution options that may be available by contacting the U.S. Department of Labor, a statement of the member's rights to bring a civil action under Section 502(a) of ERISA.

- 7.5 *Benefit Claims External Review Procedure.* The Plan's External Review procedures are intended to comply with the interim safe harbor contained in U.S. Department of Labor Technical Release 2010-01 for compliance with the external review requirements under PPACA. At such time that guidance is revised or replaced by the Department, the new guidance shall be incorporated by reference herein and these procedures will be superseded by such new guidance to the extent necessary to comply with PPACA.

7.5.1 *Standard External Review.* A Claimant may file a request for external review within four (4) months after the date of receipt of a notice of an adverse benefit determination or final internal adverse benefit determination. If there is no corresponding date four (4) months after the date of receipt of such notice, then the request must be filed by the first day of the fifth month following the receipt of the notice. For example, if the date of receipt of the notice is October 30, because there is no February 30, the request must be filed by March 1. If the last filing date would fall on a Saturday, Sunday or Federal holiday, the last filing date is extended to the next day that is not a Saturday, Sunday or Federal holiday.

Within five (5) business days after the date of receipt of the external review request, the Plan Administrator will conduct a preliminary review of the request to determine whether: (i) the Claimant is or was covered under the Plan at the time the health care item or service was requested or, in the case of a retrospective review, was covered under the Plan at the time the health care item or service was provided; (ii) the adverse benefit determination or the final adverse benefit determination does not relate to the Claimant's failure to meet the requirements for eligibility to participate under the terms of the Plan (eligibility claims are not subject to external review); (iii) the Claimant has exhausted the Plan's internal appeal process unless the Claimant is not required to exhaust the final internal appeals process; and (iv) the Claimant has provided all the information and forms required to process an external review.

Within one (1) business day after completion of the preliminary review, the Plan Administrator will issue a written notification to the Claimant. If the request is complete but not eligible for external review, the notification will include the reasons for its ineligibility and the toll-free (if available) contact information for the Employee Benefits Security Administration. If the request is not complete, the notification will describe the information or materials needed to make the request complete. The Plan will allow a Claimant to perfect the request for external review within the later of: (i) the 4-month filing period; or (ii) the 48-hour period after the receipt of notification.

The Plan Administrator will assign an Independent Review Organization (IRO) accredited by a nationally-recognized accrediting organization to conduct the external review. The Plan Administrator will contract with at least three IROs for assignments under the Plan and rotate claim assignments among them or incorporate other independent, unbiased methods for selection of IROs, such as random selection. The contract between the Plan and an IRO will provide the following:

- (a) The IRO will use legal experts where appropriate to make coverage determinations under the Plan.
- (b) The IRO will timely notify the Claimant in writing of the request's eligibility and acceptance for external review. The notice will include a statement that the Claimant may submit in writing to the assigned IRO within ten (10) business days after the date

of receipt of the notice that the IRO must consider when conducting external review. The IRO is not required to, but may, accept and consider additional information submitted after ten (10) business days.

- (c) Within five (5) business days after the date of assignment of the IRO, the Plan will provide the assigned IRO the documents and any information considered in making the adverse benefit determination or final internal adverse benefit determination. Failure by the Plan to timely provide the documents and information will not delay the conduct of the external review. If the Plan does not timely provide the documents and information, the IRO may terminate the external review and make a decision to reverse the adverse benefit determination or final internal adverse benefit determination. Within one (1) business day after making such a decision, the IRO must notify the Claimant and the Plan.
- (d) Upon receipt of any information submitted by the Claimant, the IRO must within one (1) business day forward the information to the Plan. The Plan Administrator may, but is not required to, reconsider its adverse benefit determination or final internal adverse benefit determination. Reconsideration by the Plan will not delay the external review. If the Plan Administrator decides to reverse its adverse benefit determination or final internal adverse benefit determination and provide coverage or payment, the Plan Administrator will provide written notice of its decision to the Claimant and the IRO within one (1) business day after making its decision. The IRO will terminate the external review upon receiving this notice from the Plan Administrator.
- (e) The IRO will review all of the information and documents timely received. In reaching a decision, the IRO will review the claim de novo and will not be bound by any decisions or conclusions reached during the Plan's internal claims and appeals process. In addition to the documents and information provided, the IRO, to the extent the information or documents are available and the IRO considers them appropriate, will consider the following in reaching a decision: (i) the Claimant's medical records; (ii) the attending health care professional's recommendation; (iii) reports from appropriate health care professionals and other documents submitted by the Plan or issuer, Claimant, or the Claimant's treating provider; (iv) the terms of the Plan to ensure that the IRO's decision is not contrary to the Plan's terms, unless the terms are inconsistent with applicable law; (v) appropriate practice guidelines, which must include applicable evidence-based standards and may include any other practice guidelines developed by the Federal government, national or professional medical societies, boards, and associations; (vi) any applicable clinical review criteria developed and used by the Plan, unless the criteria are inconsistent with the Plan's terms or with applicable law; and (vii) the opinion of the IRO's clinical reviewer or reviewers after considering the available information or documents to the extent the clinical reviewer or reviewers consider appropriate.
- (f) The IRO will provide written notice to the Claimant and the Plan of the final external review decision within forty-five (45) days after the IRO receives the request for the external review. The notice will contain: (i) a general description of the reason for the request for external review, including information sufficient to identify the claim (including the date or dates of service, the health care provider, and if applicable, the claim amount, the diagnosis code and its corresponding meaning, the treatment code and its corresponding meaning, and the reason for the previous denial); (ii) the date the IRO received the assignment to conduct the external review and the date of the IRO decision; (iii) references to the evidence or documentation, including the specific coverage provisions and evidence-based standards, considered in reaching the decision; (iv) a discussion of the principal reason or reasons for its decision, including the rationale for its decision and any evidence-based standards that were relied on in making its decision; (v) a statement that the determination is binding except to the

extent that other remedies may be available under State or Federal law to either the Plan or the Claimant; (vi) a statement that judicial review may be available to the Claimant; and (vii) current contact information, including phone number, for any applicable office of health insurance consumer assistance or ombudsman established under the Public Health Service Act Section 2793.

- (g) Upon receipt of a notice of a final external review decision reversing the adverse benefit determination or final internal adverse benefit determination, the Plan will immediately provide coverage or payment (including immediately authorizing or immediately paying benefits) for the claim.
- (h) After a final external review decision, the IRO must maintain records of all claims and notices associated with the external review process for six (6) years. An IRO must make such records available for examination by the Claimant, the Plan, or State or Federal oversight agency upon request, except where such disclosure would violate State or Federal privacy laws.

7.5.2 Expedited External Review Procedure. The Plan will allow a Claimant to make a request for an expedited external review at the time the Claimant receives: (i) an adverse benefit determination if the adverse benefit determination involves a medical condition for which the timeframe for completion of an expedited internal appeal would seriously jeopardize the life or health of the Claimant or would jeopardize the Claimant's ability to regain maximum function and the Claimant has filed a request for an expedited internal appeal; or (ii) a final internal adverse benefit determination, if the Claimant has a medical condition where the timeframe for completion of a standard external review would seriously jeopardize the life or health of the Claimant or would jeopardize the Claimant's ability to regain maximum function, or if the final internal adverse benefit determination concerns an admission, availability of care, continued stay, or health care item or service for which the Claimant receives emergency services, but has not been discharged from a facility.

Immediately upon receipt of the request for expedited external review request, the Plan Administrator will review the request to determine whether the request meets the reviewability requirements described in Section 7.5.1 above for Standard External Review. The Plan must immediately send a notice that meets the requirements set forth in Section 7.5.1 for Standard External Review to the Claimant of its eligibility determination.

Upon determination that a request is eligible for expedited external review following preliminary review described in Section 7.5.1 above, the Plan Administrator will assign an Independent Review Organization (IRO) in accordance with the requirements described in Section 7.5.1 above for Standard External Review. The Plan will provide or transmit all necessary documents and information considered in making the adverse benefit determination or final internal adverse benefits determination to the assigned IRO electronically or by telephone or fax or any other available expeditious method.

The assigned IRO, to the extent the information or documents are available and the IRO considers them appropriate, will consider the information or documents described above under the procedures for Standard External Review. In reaching a decision, the IRO will review the claim de novo and is not bound by any decisions or conclusions reached during the Plan's internal claims and appeals process.

The IRO will provide written notice to the Claimant and the Plan of the final external review decision, in accordance with the requirements of Section 7.5.1(f) above for Standard External Review, except that the notice will be provided as expeditiously as the Claimant's medical condition or circumstances require, but in no event more than 72 hours after the IRO receives the request for an expedited external review. If the notice is not in

writing, then within 48 hours after the date of providing that notice, the IRO must provide written confirmation of that decision to the Claimant and the Plan.

Upon receipt of a notice of a final external review decision reversing the adverse benefit determination or final internal adverse benefit determination, the Plan will immediately provide coverage or payment (including immediately authorizing or immediately paying benefits) for the claim.

After a final external review decision, the IRO must maintain records of all claims and notices associated with the external review process for six (6) years. An IRO must make such records available for examination by the Claimant, the Plan, or State or Federal oversight agency upon request, except where such disclosure would violate State or Federal privacy laws.

- 7.6 Impartiality in Claims and Appeals Procedures. All claims and appeals under the Plan will be adjudicated in such a manner as to maintain the independence and impartiality of all those involved in making a benefit decision. Decisions regarding the hiring, compensation, termination, promotion, incentives or other similar matters regarding any individual or organization making decisions in the claims and appeals process (such as a claims adjudicator, medical expert, or Independent Review Organization) will not be made based upon the likelihood that the individual or organization will support the denial of benefits.

8. AMENDMENT AND TERMINATION OF THE PLAN

- 8.1 Amendment. The Employer may amend the Plan at any time or from time to time by an instrument in writing executed with the same formality as this instrument. Any amendment shall be effective only for periods after the later of its adoption date or effective date. No amendment shall affect the rights of Participants to receive reimbursement for Expenses incurred prior to the effective date of the amendment.
- 8.2 Termination. The Plan is intended by the Employer to be an indefinite program for the provision of health benefits for its Employees. The Employer nevertheless reserves the right to terminate the Plan at any time and for any reason. Such termination shall be effected by a written instrument executed by the Employer with the same formality as this instrument. Termination of the Plan shall not affect the rights of Participants to receive reimbursement for Expenses incurred prior to the effective date of the termination.

9. MISCELLANEOUS

- 9.1 No Employment Rights Conferred. The adoption and maintenance of the Plan shall not be deemed to constitute a contract between the Employer and any Participant or to be a consideration for, or an inducement to or condition of, the employment of any person.

Nothing herein contained shall be deemed to: (i) give to any Participant the right to be retained in the employment of the Employer; (ii) interfere with the right of the Employer to discharge any Participant at any time; (iii) give to the Employer the right to require any Participant to remain in its employment; or (iv) interfere with any Participant's right to terminate employment with the Employer at any time.

- 9.2 No Compensation for Other Purposes. Benefits paid under the terms of this Plan shall not be treated as additional compensation to the Participant for purposes of determining contributions or benefits under any qualified retirement plan maintained by the Employer or for purposes of any other benefit obligations of the Employer unless otherwise provided under the terms of the retirement plan or other benefit program.
- 9.3 Benefits Solely from General Assets. The benefits provided under this Plan shall be paid

solely from the general asset of the Employer. Nothing in this Plan shall be construed to require the Employer or the Plan Administrator to maintain any fund or segregate any amount for the benefit of any Participant, and no Participant or other person shall have any claim against right to, or security or other interest in, any fund, account, or asset of the Employer from which any payment under the Plan may be made.

- 9.4 Impossibility of Performance. In the event that it becomes impossible for the Employer to perform any act under the Plan, that act shall be performed which in the judgment of the Employer shall most nearly carry out the intent and purposes of the Plan.
- 9.5 Governing Law. All legal questions pertaining to the Plan shall be determined in accordance with the laws of the Plan Administrator's State except when those laws are preempted by the laws of the United States.
- 9.6 Code and Legal Requirements. The Plan is intended and shall be interpreted to comply with all applicable laws, including all applicable Code requirements. Such requirements are incorporated by reference to the extent required and not expressly set forth herein and to the extent any provision of the Plan conflicts with applicable legal requirements, shall be reformed to effect compliance.

APPENDIX A

THE USE AND DISCLOSURE OF PROTECTED HEALTH INFORMATION

A. Use and Disclosure of Protected Health Information (PHI)

The Plan will use and/or disclose Protected Health Information (“PHI”) to the extent of and in accordance with the uses and disclosures permitted or required by the Health Insurance Portability and Accountability Act of 1996 and regulations promulgated pursuant thereto (“HIPAA”), which are hereby incorporated by reference. For example, the Plan may use and disclose PHI for purposes related to health care treatment, payment for health care, and health care operations.

The following terms are defined for purposes of this subsection:

Protected Health Information (“PHI”) is individually identifiable health information, whether oral or recorded in any form or medium, which is collected from an individual, and which:

- Is created or received by the Plan;
- Relates to the past, present, or future physical or mental health or condition of an individual; the provision of health care to an individual; or the past, present, or future payment for the provision of health care to an individual; and
 - a. That identifies the individual; or
 - b. With respect to which there is a reasonable basis to believe that the information can be used to identify the individual; and
- Is transmitted by electronic media, maintained in any electronic medium, or transmitted or maintained in any other form or medium. PHI excludes information in education records covered by the Family Educational Right and Privacy Act, records described at 20 U.S.C. § 1232(g)(a)(4)(B)(iv), and employment records held by the Plan Sponsor in its role as employer.

Electronic Protected Health Information (“e-PHI”) is PHI that is transmitted by electronic media or maintained in any electronic medium.

Treatment means the provision, coordination, or management of health care and related services by one or more health care providers, including the coordination or management of health care by a health care provider with a third party; consultation between health care providers relating to a patient; and the referral of a patient for health care from one health care provider to another.

Payment includes activities undertaken by the Plan to obtain premiums or determine or fulfill its responsibility for the coverage and provision of plan benefits or to obtain or provide reimbursement for the provision of health care that relate to an individual to whom health care is provided. These activities include, but are not limited to, the following:

- Determination of eligibility, coverage and cost sharing amounts (for example, cost of a benefit, plan maximums and copayments as determined for an individual’s claim);
- Coordination of benefits;
- Adjudication of health benefit claims (including appeals and other payment disputes);
- Subrogation of health benefit claims;
- Risk adjusting amounts due based on enrollee health status (not including genetic information) and demographic characteristics;
- Billing, collection activities and related health care data processing;
- Claims management and related health care data processing, including auditing payments, investigating and resolving payment disputes and responding to Participant inquiries about payments;
- Obtaining payment under a contract for reinsurance (including stop-loss and excess of loss insurance);

- Medical necessity reviews or reviews of appropriateness of care or justification of charges;
- Utilization review, including precertification, preauthorization, concurrent review and retrospective review; and,
- Disclosure to consumer reporting agencies related to the collection of premiums or reimbursement (the following PHI may be disclosed for payment purposes: name and address, date of birth, Social Security number, payment history, account number and name and address of the provider and/or health plan).

Health Care Operations include, but are not limited to the following activities:

- Quality assessment;
- Population-based activities relating to improving health or reducing health care costs, protocol development, case management and care coordination, disease management, contacting health care providers and patients with information about treatment alternatives and related functions;
- Rating provider and plan performance, including accreditation, certification, licensing or credentialing activities;
- Underwriting, premium rating and other activities that do not involve consideration of genetic information relating to the creation, renewal or replacement of a contract of health insurance or health benefits, and ceding, securing or placing a contract for reinsurance of risk relating to health care claims (including stop-loss insurance and excess of loss insurance);
- Conducting or arranging for medical review, legal services and auditing functions, including fraud and abuse detection and compliance programs;
- Business planning and development, such as conducting cost-management and planning-related analyses related to managing and operating the Plan, including formulary development and administration, development or improvement of payment methods or coverage policies;
- Business management and general administrative activities of the Plan, including, but not limited to:
 - a. Management activities relating to the implementation of and compliance with HIPAA's administrative simplification requirements, or,
 - b. Customer service, including the provision of data analyses for policyholders, plan sponsors or other customers;
- Resolution of internal grievances;
- The sale, transfer, merger, or consolidation of all or part of the "covered entity" within the meaning of HIPAA with another covered entity, or an entity that following such activity will become a covered entity and due diligence related to such activity; and
- Consistent with the applicable requirements of the regulations issued under HIPAA, creating de-identified health information or a limited data set and fundraising for the benefit of the "covered entity" within the meaning of HIPAA.

Summary Health Information is information (1) that summarizes the claims history, claims expenses, or type of claims experienced by individuals for whom a plan sponsor has provided health benefits under the Plan; and (2) from which the information described at 42 C.F.R. §164.514(b)(2)(i) has been deleted, except that the geographic information described in 42 C.F.R. § 164.514(b)(2)(i)(B) need only be aggregated to the level of a five-digit ZIP code.

Unsecured PHI is PHI that is not secured through the use of technology or methodology specified by the Secretary of Health and Human Services ("HHS").

B. The Plan Will Use and Disclose PHI Consistent with HIPAA's Requirements and as Permitted by Authorization of the Plan Participant or Beneficiary

The Plan will use and disclose PHI consistent with the rules and requirements under HIPAA. To the extent required by HIPAA, the Plan shall obtain a written authorization from the individual who is the subject of the PHI for certain uses and disclosures of PHI.

C. Disclosures to the Plan Sponsor

The Plan will not disclose PHI to the Plan Sponsor unless it receives a certification from the Plan Sponsor that the Plan documents have been amended to incorporate the provisions set forth in Sections D and E below. Notwithstanding the foregoing, the Plan may disclose to the Plan Sponsor the following:

1. The Plan may disclose Summary Health Information to the Plan Sponsor, if the Plan Sponsor requests the Summary Health Information for the purpose of :
 - a. Obtaining premium bids from health plans for providing health insurance coverage under the group health plan; or
 - b. Modifying, amending, or terminating the group health plan.
2. The Plan may disclose to the Plan Sponsor information on whether an individual is participating in the group health plan, or is enrolled in or has disenrolled from a particular coverage option offered by the Plan.

D. Plan Sponsor Covenants Regarding PHI

The Plan Sponsor agrees to:

- Not use or further disclose PHI other than as permitted or required by the Plan documents or as required by law;
- Ensure that any agents, including a subcontractor, to whom the Plan Sponsor provides PHI agree to the same restrictions and conditions that apply to the Plan Sponsor through a written contractual agreement in accordance with 45 CFR § 164.314;
- Not use or disclose PHI for employment-related actions and decisions unless authorized by an individual;
- Not use or disclose PHI in connection with any other benefit or employee benefit plan of the Plan Sponsor unless authorized by an individual;
- Not use or disclose PHI genetic information for underwriting purposes;
- Report to the Plan any PHI use or disclosure that is inconsistent with the uses or disclosures provided for of which it becomes aware, including breaches of Unsecured PHI as required by 45 CFR § 164.410, and any other Security Incident of which becomes aware;
- Make PHI available in paper and/or electronic format to an individual in accordance with HIPAA's access requirements;
- Make PHI available for amendment and incorporate any amendments to PHI in accordance with HIPAA;
- Make available the information required to provide an accounting of disclosures;
- Make its internal practices, books and records relating to the use and disclosure of PHI received from the Plan available to the U.S. Secretary of Health and Human Services for the purposes of determining the Plan's compliance with HIPAA; and

- If feasible, return or destroy all PHI received from the Plan that the Plan Sponsor still maintains in any form, and retain no copies of such PHI when no longer needed for the purpose for which disclosure was made (or if return or destruction is not feasible, limit further uses and disclosures to those purposes that make the return or destruction infeasible).

E. With Respect to e-PHI, the Plan Sponsor Agrees to the Following Conditions

The Plan Sponsor agrees to:

- Implement administrative, physical, and technical safeguards that reasonably and appropriately protect the confidentiality, integrity, and availability of the e-PHI that it creates, receives, maintains, or transmits on behalf of the Plan, in accordance with HIPAA security rules;
- Ensure that the adequate separation between the Plan and Plan Sponsor is supported by reasonable and appropriate security measures;
- Ensure that any agent, including a subcontractor, to whom it provides this information agrees to implement reasonable and appropriate security measures to protect the information as part of its written contractual agreement in accordance with 45 CFR § 164.314;
- Report to the Plan any Security Incident of which it becomes aware. For purposes of this section, Security Incident shall mean successful unauthorized access, use, disclosure, modification or destruction of, or interference with, the e-PHI, as well as any probable compromise of Unsecured PHI of which it becomes aware; and
- Upon request from the Plan, Plan Sponsor agrees to provide information to the Plan on unsuccessful unauthorized access, use, disclosure, modification or destruction of the e-PHI to the extent such information is available to Plan Sponsor.

Notwithstanding the foregoing, these limitations shall not apply to Enrollment, Disenrollment, and Summary Health Information provided to Plan Sponsor pursuant to 45 CFR § 164.504(f)(1)(ii) or (iii); of e-PHI released pursuant to an Authorization that complies with 45 CFR § 164.508; or in other circumstances as permitted by the HIPAA regulations.

F. Adequate Separation Between the Plan and the Plan Sponsor Must Be Maintained

The Plan Sponsor shall permit only those individuals listed below to have access to PHI in order to carry out their duties with respect to payment under, health care operations of, or other matters pertaining to the Plan in the ordinary course of business. In the event that the individuals listed below do not comply with this Plan Document, the Plan Sponsor shall provide a mechanism for resolving issues of noncompliance, including disciplinary sanctions. The Plan Sponsor will ensure that the adequate separation between the Plan and Plan Sponsor is supported by reasonable and appropriate security measures.

The following employees, classes of employees or other persons under the Plan Sponsor's control (or acting on behalf of Plan Sponsor) may have access to PHI:

[Insert in the blanks below the title and/or description of the class of all person(s) expected to have access to PHI]

G. Limitations of PHI Access and Disclosure

The persons described in Section F may only have access to and use and disclose PHI to the extent necessary to perform plan administration functions that the Plan Sponsor performs for the Plan.

H. Noncompliance Issues

If the persons described in Section F do not comply with HIPAA's and the Plan's privacy rules, the Plan Sponsor shall provide a mechanism for resolving issues of noncompliance, including disciplinary sanctions.

I. Participant Notice

The Plan shall be operated in accordance with the Notice of Privacy Practices, written in accordance with 45 CFR § 164.502, which shall be distributed to Plan Participants and which may be amended from time to time by the Plan Administrator or insurer providing benefits.

J. Health Plan Policies and Procedures

In addition to the policies and procedures set forth in the Participant Notice, the Plan has established the policies and procedures to safeguard the privacy of PHI and comply with HIPAA's requirements. The Plan Administrator may amend such policies and procedures from time to time, as it deems appropriate.

K. Policy and Procedure for Notification of Breach of Unsecured Protected Health Information

The Plan and its contractors will strive to prevent breaches of Unsecured PHI electronically or otherwise, and maintain privacy and security measures to protect the confidentiality of PHI. Pursuant to HIPAA and Regulations promulgated thereunder, and the Health Information Technology for Economic and Clinical Health Act ("HITECH"), the Plan will notify individuals if there is a probable compromise of Unsecured PHI.

Background and Purpose:

Pursuant to HIPAA and Regulations promulgated thereunder, and the Health Information Technology for Economic and Clinical Health Act ("HITECH"), the Plan will notify individuals when Unsecured PHI has been acquired, accessed, used or disclosed by an unauthorized person, when a confirmed breach of the security of the system does not fall within a statutory exception or there is a low probability that the PHI has been compromised.

Policy:

Confirmed breaches of the security or privacy of Unsecured PHI will invoke certain actions to determine the probability that the PHI has been compromised based on a risk assessment and, under specific circumstances, notification of the breach will be made to the affected individual(s).

Procedure for Notification:

- a. The Plan has implemented reasonable and appropriate administrative, physical and technical safeguards to protect the confidentiality, integrity and availability of PHI and PI in its possession.
- b. The Plan has implemented reasonable systems for the discovery and reporting of a breach of PHI or PI. A "breach" of PHI is the unauthorized acquisition, access, use or disclosure of PHI which compromises the security or privacy of the PHI.
- c. When a breach has been reported, an investigation into the breach will be conducted.

- d. The investigation and steps taken will be thoroughly documented. If the conclusion of the investigation is that no breach occurred, no further action is necessary, but the investigation and conclusion will be thoroughly documented.
- e. If it is confirmed that a breach of security or confidentiality has occurred and has resulted in the unauthorized disclosure of PHI, the following risk assessment steps will be taken:
 - 1. Determine whether or not the information breached was Unsecured. Unsecured PHI includes information not secured through encryption or destruction, and is not rendered unusable, unreadable, or indecipherable to unauthorized persons through the use of a technology or methodology specified by the Secretary of HHS in guidance issued under Section 13402(h)(2) of Public Law 111-5.
 - 2. Determine the reasonable likelihood that such information was accessed by an unauthorized person.
 - 3. Determine the probability that the PHI has been compromised based on a risk assessment of at least the following factors: (i) the nature and extent of the PHI involved, including the types of identifiers and the likelihood of re-identification; (ii) the unauthorized person who used the PHI or to whom the disclosure was made; (iii) whether the PHI was actually acquired or viewed; and (iv) the extent to which the risk to the PHI has been mitigated.
- f. The risk assessment will be documented thoroughly, including the actions taken, the conclusions of the assessment and the basis for the determination that there was or was not a low probability that the PHI was compromised.
- g. If it is determined that the information breached was secured and there is no reasonable likelihood that the secured information was rendered usable, readable or viewable by an unauthorized person, no further action is necessary, but the determination and conclusion will be documented.
- h. If it is determined that the information breached was Unsecured, but the circumstance of the breach falls within one of the exceptions to HIPAA (45 CFR § 164.402) so notification is not required, such determination will be documented.
- i. If it is determined that the breach of the security of the system demonstrates that there is more than a low probability that the PHI was compromised, the Plan will as soon as possible, but no later than sixty (60) days after the discovery of the breach, notify the individual(s) whose information was disclosed as a result of the breach and the determination and conclusion will be documented.
- j. If it is determined that the information breached was Unsecured and notification is required, an analysis of the requirements for notification of the State in which the individuals reside will be conducted and documented.
- k. If notification to law enforcement or another regulatory body or agency is required under State law such notification will be made to the regulatory body or agency in accordance with State law.
- l. If State law requires notification to the individual, notification will be made in accordance with State law.
- m. Notification to the individual may be delayed if a law enforcement agency determines that the notification will impede a criminal investigation and the notification will be made after law enforcement determines it will not compromise its investigation.
- n. Notification of a breach to affected individuals will be in plain language and include at a minimum:
 - 1. A brief description of what happened, including the date of the breach and discovery of the breach; a description of the type of Unsecured PHI or other personal information that was involved in the breach;
 - 2. Any steps individuals should take to protect themselves from potential harm resulting from the breach;
 - 3. A description of the investigation into the breach, mitigation of harm to individuals, and protection against further breaches; and
 - 4. Contact procedures, which will include a toll-free telephone number, an e-mail address, website or postal address.
- o. The notification must include any additional information required by applicable State law.

- p. If the breach involves more than 500 residents of a state or jurisdiction, notice will be provided to the media and to the Secretary of the Department of Health and Human Services contemporaneously.
- q. A log of any and all breaches of Unsecured PHI of less than 500 individuals will be maintained and reported to the Secretary of HHS on an annual basis.
- r. Business Associates and vendors, through their contracts and/or Business Associate Agreements with the Plan will be required to provide notification of a breach to the Plan so that affected individuals can be notified, as necessary. Business Associates must provide all available information without delay.
- s. Documentation will be maintained of each individual notified, each notification provided to HHS and any other notification to the Secretary of HHS as required by law.

RECORD OF ADOPTION

By signing this Record of Adoption, the Employer approves and adopts the terms of the Health Reimbursement Account Plan as stated in the Plan Document and Plan Highlights. A copy of the current Plan Highlights is attached to this Plan and Record of Adoption and incorporated herein by reference.

(Date)

(Name)

(Title)